MAHATMA GANDHI UNIVERSITY

MGUGP (HONOURS)

FIRST SEMESTER EXAMINATION (2024 ADMISSION ONWARDS)

Model Question Paper

MG1MDCCOM100- Business Organisation and Entrepreneurship

Duration: 1 hour **Maximum marks: 50**

Students should attend at least one question from each course outcome to enhance their overall outcome attainability

PART A

Multiple Choice Question- Answer any 30 questions

Each question carries 1 marks each

1. Which of the following is a business activity? (U, CO1)

a) Social service b) Transfer of an employee c) Providing donation to a club

d) Production and sale of goods

2. Which of the broad categories of industries covers oil refinery and sugar mills? ((U, CO1)

a) Primary b) Secondary c) Tertiary d) None of these

3. The structure in which there is separation of ownership and management is called (U,CO1)

a) Sole proprietorship b) Partnership c) Company d) All business organisations

4. The board of directors of a joint stock company is elected by (U,CO1)

a) General public b) Government bodies c) Shareholders d) Employees

5. The occupation in which people work for others and get remuneration is known as (U,CO1)

a) Business b) Profession c) Employment d) None of these

6. Which of the following cannot be classified as an objective of business? (U,CO1)

a) Investment b) Productivity c) Innovation d) Profit earning

7. The capital of a company is divided into number of parts each one of which is called (U,CO1)

a) Dividend b) Profit c) Interest d) Share

8. A partner whose association with the firm is unknown to the general public is called

a) Active partner b) Sleeping partner c) Nominal partner d) Secret partner (U,CO2)

9. Find the one, which does not enjoy separate legal entity (U,CO2)

a) Private limited company b) Public limited company c) Registered partnership firm

d) Co-operative society

10. A person who organises and operates a business for making profit is known as (U,CO2)

a) Manager b) Entrepreneur c) Leader d) Motivator

11. The social obligation of a business while performing its activity is known as (U,CO1)

a) Sustainability b) Diversity c) Social responsibility d) Integrity

12. MSME Act came in force in (U,CO1)

a) 2015 b) 2020 c) 1998 d) 2006

13. Carrying out business activity through internet is known as (U, CO2)

a) Telebanking b) E-commerce c) Entrepot trade d) Advertising

14. ---------- is the ideal form of business organisation for tailoring organisation (U, CO1)

a) Sole proprietorship b) Partnership c) Company d) HUF

15. Long term capital is also known as (U,CO2)

a) Working capital b) Fixed capital c) Floating capital d) Share capital

16. Ploughing back of profit is a ---------- source of finance (U,CO2)

a) Internal b) External c) Both a and b d) Foreign

17.An entrepreneur who starts the business with natural talent is known as (U,CO2)

a) Motivated entrepreneur b) Induced entrepreneur c) Pure entrepreneur d) Spontaneous entrepreneur

18.The initial capital used to start a business is (U,CO2)

a) Seed capital b) Bridge finance c) Venture capital d) Working capital

19.Sources of ideas are (U,CO2)

a) Trade fairs b) Exhibitions c) Both a and b d) None of these

20.Financial feasibility: (U,CO3)

a) Assessment of total financial requirement b) Determining source and cost of funds

c) Analysing cash flows d) All of these

21. DIC stands for (R,CO2)

a) Direct Industrial Centre b) District Industrial Centre c) Direct Investment Centre

d) District Investment Centre

22. Karta is the head of (R,CO1)

a) Family b) HUF c) Company d) Firm

23. Term loans are used for (U,CO 2)

a) Purchase of stock b) Settlement of debt c) Purchase of current assets d) Acquistion of fixed assets

24.Which of the following refers to IDBI? (U,CO2)

a) Industrial Development Financial Institutions b) A commercial bank

c) An insurance company d) Scheduled bank

25. The external factors influencing business ethics are (U,CO1)

a) Society b) Legal system c) Political system d) All of these

26. What type of IP right protects distinctive signs used to identify goods or services in commerce? (U,CO3)

a) Trade Mark b) Copy Right c) Geographical Indicator d) Patent

27. At Break Even point, the profit is (U, CO4)

(a) Positive (b) Negative (c) Zero (d) Maximum

28. Which segment do eBay, Amazon belong? (A, CO3)

a) B2B b) B2C c) C2B d) C2C

29.Patent is a (U,CO2)

a) Transferrable property b) Negotiable property c) Real property d) Non transferable property

30.---------- is the feature of joint stock company (U,CO1)

a) Natural legal person b) Unlimited liability c) Common ownership and management

d) Perpetual succession

31.How will you categorise markets for office photocopiers? (A,CO3)

a) B2B b) B2C c) C2C d) C2B

32. ---------- per unit increases when production volume decreases (A,CO4)

a) Variable cost b) Fixed cost c) Semi variable cost d) Controllable cost

30 x 1 = 30 marks

PART B

Answer any 10 questions- Each question carries 2 marks each

33.i) Sick units are likely to incur cash losses for the current year as well as the following year

ii)Sickness arises due to internal as well as external factors (U,CO2)

a) Only i is true

b) Only ii is true

c) Both are correct

d) Both are incorrect

34.What role do MSMEs mainly play in the Indian economy? (U, CO1)

a) They are primarily focused on exports

b) They provide employment opportunities and contribute to economic growth

c) They replace large enterprises in all sectors

d) They operate exclusively in the agriculture sector

35. How does the B2B2C model help small businesses grow? (U, CO3)

(a) It offers low-quality products to more customers

(b) It allows small businesses to reach a larger audience through established platforms

(c) It reduces their marketing costs to zero

(d) It helps businesses operate without legal registration

36. When employees are not satisfied with the business enterprise they can withdraw their contribution to the business firms . Which argument in favour of social responsibility states this ? (U,CO1)

a) Long term interest of the firm b) Justification for existence and growth

c) Avoidance of government regulation d) Converting problems into opportunities

37. Internal trade includes (U,CO1)

i) Wholesale trade

ii) Retail trade

a) Only i
b) Only ii
c) Both i and ii
d) Not i and ii

38. Which of the following is not a feature of public sector enterprise? (U,CO1)

i) Owned, managed and controlled by government

ii) Serve the public and the nation

iii) Primary goal is generation of profit

iv) Funded by the government

39. Match the following (U,CO1)

A) Transportation i) Place utility

B) Warehousing ii) Information utility

C) Banking iii) Financial services

D) Advertising iv) Time utility

a) A-i, B-iv, C-iii, D-ii

b) A-i, B- iii, C-ii, D- iv

c) A-iii, B- iv, C-ii, D-i

d) A-iv, B-ii, C-I, D-iii

40. Identify the problems faced by MSME (U,CO1)

i) Scarcity of raw materials

ii) Lack of finance

iii) Technical know how

iv) Skilled manpower

a) i and ii
b) iii and iv
c) Only i
d) Only iv

41. Match the following (U,CO1)

A) Micro enterprise i) Maximum turnover 5 crore

B) Small enterprise ii) Maximum turnover 10 crore

C) Medium enterprise iii) Maximum turnover 250 crore

a) A- ii, B –iii, C-i

b) A-iii, B-i, C-ii

c) A-ii, B-I, C- iii

d) A-i, B-ii, C-iii

42. Assertion (A) : Perpetual succession means continuous existence of a company (U,CO1)

Reason (R) : The existence of a company is not affected by death, insanity and insolvency of members

a) Both A and R are true and R is the correct explanation of A
b) Both A and R are true, but R is not the correct explanation of A
c) A is true but R is false
d) A is false but R is true

43. Identify the correct sequence (U,CO2)

a) Idea generation, idea screening, selection of ideas, business plan development

b) Idea generation, idea screening, business plan development, selection of ideas

c) Idea screening, Idea generation, selection of ideas, business plan development

d) Idea screening, Idea generation, business plan development, selection of ideas

44. i) A drone entrepreneur follows traditional methods of production (U,CO2)

ii) The traditional industries of Kerala are characterized by drone entrepreneurs

a) i and ii are trues
b) Only i is true
c) Only ii is true
d) i and ii are false

10 x 2= 20 marks